

Ref No.: BD-B1,2,3,4-ACEPM-SAMCO-LET-007
September 2025

Date: Monday, 22

To: SAMCO National Construction Company
Attention: Eng. Mohammed Sami Mohammed (Project Manager)

Project Name: The Big Business District
Contract/Package: Construction Works of the Civil Works for Buildings B1, B2, B3 and B4

Subject: ACE-PM Response on the Submittal of Insurance Policy

Reference (S):

- 1) The Contractor's letter ref .no # BD-CW-SAMCO-ACE-DS-STR-004

Dear Sir,

With reference to the above-mentioned subject, the Signed contract, ACE-PM would like to raise the following comments regarding the submitted insurance by the Contractor:

1. General Comments (applicable to all insurance policies):

- The submitted insurance policy is rejected, as it only includes the Contractor's All Risk insurance. In accordance with Particular Conditions Sub-Clause 18.1 (General Requirements for Insurances), the Contractor is required to submit policies covering:
 - a. Contractor's All Risk and Public Liability Insurance
 - b. Contractor's Equipment Insurance
 - c. Workmen's Compensation Insurance
 - d. Motor Vehicles Third Party and Passengers' Liability Insurance
- The insured parties shall include the Employer's name, as stipulated under Particular Conditions Sub-Clause 18.1.
- The insurance period shall comply with Particular Conditions Sub-Clause 18.1, i.e., from the commencement of works on site until the Engineer issues the Taking-Over Certificate, including the Defects Notification Period. The currently stated dates are invalid and must be updated.
- A cross-liability clause shall be included, ensuring that the insurance applies to the Contractor and the Employer as separate insured parties.
- The Project Name must be stated exactly as per the Contract Agreement.
- The Contractor shall follow the submittal procedure to resubmit the policy insurance as a submittal.

2. Contractor's All Risk and Public Liability Insurance:

- CAR policy must provide coverage with a limit of liability not less than 115% of the Contract Value. The amount stated in the submission is incorrect.
- The submitted Public Liability policy is rejected, as it shall be without limitation and must expressly extend to cover the Employer's consultants, engineers, servants, employees, and agents.

3. Contractor's Equipment Insurance:

- The policy must cover all construction equipment owned, hired, or used by the Contractor. Any uninsured equipment will not be permitted to operate on the site. No such insurance has been submitted.
- All General Conditions, Special Conditions, and Amendments must be submitted for review.

4. Workmen's Compensation Insurance:

- No Workmen's Compensation Insurance has been submitted.
- All General Conditions, Special Conditions, and Amendments must be submitted for review.

5. Motor Vehicles Third Party and Passengers' Liability Insurance:

- No Motor Vehicles Third Party and Passengers' Liability Insurance has been submitted.
- All General Conditions, Special Conditions, and Amendments must be submitted for review.

In light of the above, the Contractor is requested to resubmit the Insurance after concluding the aforementioned comments for the Engineer's review and action, within (28) days from the Commencement Date, i.e. no later than 8 October 2025.

Yours faithfully,
Eng./ Abdelaziz Mohammed.

Project Manager,
ACE Project Management



Attachment(s): (N/A)

CC:

Eng. Mostafa Gala – Owner representative